Signed by
Transition RAC
RADIX DAO LLC

DAO Parameters Registry

Version v1.0.0 — Last updated 2026-08-27

---

1. Purpose

This document defines the **configurable parameters** governing DAO operations.

These parameters:

- Enable flexibility without modifying core governance documents
- Provide clarity on thresholds, durations, and limits
- May be updated via governance proposals

---

2. Scope

This registry defines:

- Voting thresholds
- Quorum requirements
- Time durations
- Budget limits
- Emergency thresholds

---

3. Governance Parameters

3.1 Voting Durations

Parameter	Value	Description
Draft Discussion Period	≥5 days	Minimum time for community discussion on the RAC-designated platform. Does not apply to Election proposals; see Election Nomination & Discussion Window below.
Election Nomination & Discussion Window	7–10 days	Combined nomination and community discussion period for Election proposals. Nominations open at the start of this window; community discussion runs concurrently. Replaces the separate Draft Discussion and Nomination Period for elections. After this window closes, the Temperature Check opens immediately.

Parameter	Value	Description
Temperature Check Voting Period	5–7 days	Duration of the TC vote for Constitutional, Governance Process, Treasury/Budget, and Executable proposals
Temperature Check Voting Period (Short)	≥1 day	Duration of the TC vote for Election proposals and multi-option Approval Voting polls
DAO Proposal Voting Period	5–7 days	Duration of the binding DAO Proposal vote
TC Elevation Window	5 business days	Maximum time from the close of a passed Temperature Check to its elevation by the Governance Operator, or to documented grounds for delay being recorded with the RAC. Elapse without either triggers the elevation backstop (Governance Continuity Framework §4.2A)
Elevation Backstop Compliance Window	2 business days	Time for the Governance Operator to comply with a formal RAC elevation instruction before backstop execution proceeds (Governance Continuity Framework §4.2A)

3.2 Quorum Requirements

Quorum is measured as a percentage of eligible voting power. Eligible voting power is determined at the voting snapshot and includes all sources listed in §8A — at minimum liquid XRD holdings and LSU holdings converted to their XRD equivalent (the constitutional floor per Charter §12.1 item 4).

Proposal Type / Vote	Quorum
Constitutional	10% of eligible voting power
Governance Process	7%
Treasury / Budget	7%
Executable	5%
Temperature Check (TC)	3%

Quorum is measured as Participation — YES + NO + ABSTAIN — as defined in Proposal & Voting Framework §6.3.

Election proposals (Proposal & Voting Framework §4.5) are not listed above. Their quorum is set in **§6B** — Minimum Participation for Elections, and the Election Stage 2 Quorum — which adopts the Governance Process figure of 7%. The Temperature Check row does apply to an Election proposal's Temperature Check, which runs over the shortened period in §3.1.

Absolute Participation Floor (Treasury / Budget proposals): In addition to the percentage quorum above, a Treasury / Budget proposal requires a minimum of 50 unique voting addresses. An address counts toward this floor if it cast any vote, including ABSTAIN: the floor measures breadth of participation, not direction of support. Both conditions must be met. This floor is not subject to the Governance Continuity Fallback (§9A).

3.3 Approval Thresholds

Proposal Type / Vote	Approval
Constitutional	≥ 66% YES
Governance Process	≥ 60% YES
Treasury / Budget	≥ 50% YES
Executable	≥ 50% YES
Temperature Check (TC)	≥ 50% YES

Approval is measured as the YES share of Decisive Votes — YES + NO, excluding ABSTAIN — as defined in Proposal & Voting Framework §6.3.

Treasury & Budget proposals invoking §6.1A are approved at the **Large Milestone Approval Threshold** (≥ 66% YES) in place of the ≥ 50% figure above. The elevated threshold attaches to the authorization sought, not to the proposal type: an ordinary Treasury & Budget proposal is unaffected.

Election proposals (Proposal & Voting Framework §4.5) have no single approval threshold and are not listed above, because neither election mechanism decides on a YES share of the whole vote. Majority Judgment turns on the qualifying grade and the Minimum Qualifying Grade (Proposal & Voting Framework §6.2.4; §6B); the two-stage mechanism ranks by voting power at Stage 1 and applies the Election Stage 2 Approval Threshold per candidate at Stage 2 (§6.2.5; §6B). The Temperature Check row does apply to an Election proposal's Temperature Check.

3.3A Minimum Affirmative Support

Because ABSTAIN counts toward quorum but not toward approval (Proposal & Voting Framework §6.2.1), a proposal can in principle be carried over its quorum threshold predominantly by ABSTAIN votes and then decided by a very small base of affirmative support. The floor below sets a minimum level of affirmative support that a Standard vote must reach independently of quorum.

Proposal Type	Minimum YES (% of eligible voting power)
Constitutional	3.5%
Governance Process	2%

Proposal Type	Minimum YES (% of eligible voting power)
Treasury / Budget	1.5%
Executable	1%

Measurement. YES voting power as a percentage of eligible voting power at the voting snapshot (§8A). ABSTAIN and NO volume do not enter this calculation. The floor applies in addition to the quorum (§3.2) and approval (§3.3) tests; all applicable tests must be met for the proposal to pass.

Scope. Applies to the Standard vote type only (Proposal & Voting Framework §6.2.1) — Constitutional, Governance Process, Treasury & Budget, and Executable proposals. It is not needed for any other vote type, because the Standard type is the only one offering an ABSTAIN option; where no ABSTAIN option exists, quorum × approval already implies a minimum affirmative share by construction. In particular it does not apply to Temperature Check votes (§6.2.6), Election Stage 2 Confirmation Votes (§6.2.7), Approval Voting (§6.2.2), or Majority Judgment (§6.2.4). Majority Judgment is excluded for a further reason: it produces no YES voting power to measure, and its quorum operates alongside the Grade Quantile (Proposal & Voting Framework §6.2.4) and the Minimum Qualifying Grade (§6B) — a share test inside the count and a threshold on rank, neither of which is a YES share (Proposal & Voting Framework §6.3).

Derivation. Each figure is approximately half of the YES share that a zero-ABSTAIN vote clearing its quorum at its approval threshold would produce (e.g. Governance Process: 7% × 60% = 4.2%; floor 2%). ABSTAIN votes may therefore carry at most roughly half of the participation burden. Adjusting that fraction is the intended dial for tuning this section.

Reduced quorum. Where the Governance Continuity Fallback (§9A) applies, the floor is halved for that proposal, in step with the reduced quorum. See §9A.

Not an Entrenched Provision floor. This section adds a requirement; it does not reduce or weaken any Charter §12.1 Entrenched Provision. The 7% Constitutional quorum floor (Charter §12.1 item 2) is unaffected.

3.4 Cooldown Periods

Scenario	Cooldown
Failed Proposal	7 days
Minor Fix Resubmission	No cooldown
Major Resubmission	7 days

Scenario	Cooldown
Per-Proposer Treasury Submission Limit	1 Treasury & Budget proposal per rolling 30-day period per wallet address. A second submission within the window requires prior RAC notification and acknowledgement posted to the governance forum before the TC voting period opens.

3.5 Multi-Choice Voting Parameters

Parameter	Value	Description
Approval Voting: Maximum Options	8	Maximum number of options on the ballot per multi-option Executable proposal (§4.4). Does not apply to election shortlisting; election ballots list all eligible nominees (§6B).
Approval Voting: Minimum Winner Threshold	≥ 30% of total votes cast	Minimum voting power an option must receive to be declared winner. Applies to multi-option Executable proposals (§4.4). Does not apply to election Stage 1 shortlisting; Stage 1 ranks candidates by total voting power only (§6.2.5).

Parameter	Value	Description
Majority Judgment: Grade Scale	Excellent / Very Good / Good / Acceptable / Poor	The five-grade scale for Majority Judgment election votes (§6.2.4). **The order is normative** — Excellent is the highest grade and Poor the lowest, and every qualifying-grade, ranking, and Minimum Qualifying Grade comparison is a comparison of rank on this scale. For implementation the grades carry the fixed indices Excellent = 4, Very Good = 3, Good = 2, Acceptable = 1, Poor = 0; the indices are an encoding of the order, not scores to be averaged. A voter assigns exactly one grade to every candidate, and there is no Abstain grade
Result Publication Window	Within 48 hours of vote close	Deadline for RAC to publish the official outcome, quorum calculation, threshold applied, and winner determination; the Compliance Challenge Window (§4) opens upon publication

---

3A. Activation, Ratification & Transition Parameters

These parameters carry the activation and transition mechanics that the **Charter §4A** and the **Operating Agreement** (Article VIII, Schedule 5, §§5.7–5.9, §12.2) defer to the policy framework. They apply during the Advisory Governance Period (formation to the Activation Date).

3A.1 Framework Ratification (Activation Condition 6)

Parameter	Value	Description
Ratification Quorum	10% of eligible voting power	Constitutional-level quorum for the one-time community ratification of the Charter and full policy framework (OA Schedule 5, condition 6)

Parameter	Value	Description
Ratification Approval	≥ 66% YES	Constitutional-level approval threshold for ratification, measured against Decisive Votes (Proposal & Voting Framework §6.3)
Ratification Minimum Affirmative Support	3.5% of eligible voting power	The Constitutional floor in §3.3A. Ratification is a Standard vote with an ABSTAIN option, so the floor applies
Scope	Charter **and** the full policy library	Ratification covers the entire community-written framework, not the Charter alone
Timing	**Before formation**	Ratification is taken before the Company exists, on the community's own governance system, and is not an act of the Company or an exercise of authority under the Operating Agreement (Charter §4A.2A). It fixes the version of the framework the founding sequence proceeds on
Result determination	Arithmetical, from the record of the system on which the vote was taken	No RAC holds authority to determine this vote when it closes. The thresholds above are applied to the public record and the outcome is published ministerially — see Proposal & Voting Framework §6.5, which governs every other vote but expressly not this one
Recognition	Twice: on formation — the Company's ratification and adoption on execution of the Operating Agreement (OA §11.1A) and the Transition RAC resolution (OA Schedule 5, condition 6(a)) — then the Activation Vote	The Activation Vote is the act by which the community adopts the pre-formation ratification within the Company's legal order (Charter §4A.2A; GP-ACTIVATE-1 §2)

3A.2 Activation Vote (sole binding pre-activation vote)

Parameter	Value	Description
Activation Vote Voting Period	5–7 days	Duration of the binding Activation Vote (OA §8.6) conducted after publication of the Activation Statement
Activation Vote Quorum	10% of eligible voting power	Constitutional-level quorum
Activation Vote Approval	≥ 66% YES	Constitutional-level approval, measured against Decisive Votes (Proposal & Voting Framework §6.3)
Activation Vote Minimum Affirmative Support	3.5% of eligible voting power	The Constitutional floor in §3.3A. The Activation Vote is a Standard vote with an ABSTAIN option, so the floor applies
Quorum/Majority Failure	Re-run after the standard failed-proposal cooldown (§3.4)	If the Activation Vote fails to reach quorum or majority, it may be re-initiated after cooldown once the Transition RAC re-confirms the Schedule 5 evidence; the Transition RAC's non-discretionary initiation duty (OA §8.5) continues to apply

3A.3 Advisory-Outcome Recognition Thresholds (OA §5.9)

Parameter	Value	Description
Advisory Recognition — Participation	≥ 7% of eligible voting power	Participation an advisory outcome must reach to be "recognised", triggering the Transition RAC's acknowledgement/explanation duty (OA §5.9; period set in RAC Mandate)
Advisory Recognition — Majority	≥ 50% YES	Majority required for recognition
Advisory Recognition — Entrenched-Provision amendments (higher threshold)	≥ 10% participation and ≥ 66% YES	The elevated recognition threshold for an advisory outcome supporting a proposed amendment to an Entrenched Provision during the Transition Period (OA §12.2(c)(ii))

3A.4 Entrenched-Provision Amendment Thresholds

Phase	Requirements
During the Transition Period (OA §12.2(c))	Unanimous affirmative vote of all **seated** Transition RAC members, being **not fewer than two** (OA §12.2(c)(i)), **and** a concurrent recognised advisory outcome meeting the higher threshold in §3A.3 **and** ≥14 days' prior notice to the registered agent and the Official Venue
Following the Activation Date (OA §12.2(d))	Quorum **≥ 20%** of eligible voting power (not less than twice the 10% Constitutional quorum); approval **≥ two-thirds** of all Governance Tokens participating (see note below); where the amendment affects the Permanent RAC's constitutional role, composition, election mechanics, or removal, the prior written consent of the Permanent RAC by **≥ 2/3 of seated members**; and ≥21 days' prior public disclosure to the Official Venue

Note — ABSTAIN treatment for post-Activation entrenched amendments. "All Governance Tokens participating" follows the wording of OA §12.2(d)(ii) and means **Participation**, including ABSTAIN, in the denominator. This is a deliberate divergence from the Decisive Votes rule that governs every other approval threshold (Proposal & Voting Framework §6.3): for a post-Activation Entrenched-Provision amendment, an ABSTAIN vote counts against the two-thirds requirement in the same way a NO vote does. The divergence is intended — it raises the practical bar for amending an Entrenched Provision, which is the purpose of entrenchment. The RAC must apply this denominator, not the §6.3 default, when counting such a vote. The Minimum Affirmative Support floor (§3.3A) is subsumed by the higher requirement here and is not separately applied.

3A.5 Permanent RAC Election Gating (Activation Condition 7)

Parameter	Value	Description
Minimum Seats for Activation	5	Minimum number of Permanent RAC members that must be duly elected and **formally seated** before the Activation Vote (OA Schedule 5, condition 7; §5.1)
KYC Before Seating	Mandatory	Every elected Permanent RAC member must complete KYC Tier 1 verification (Compliance Operations Policy) **before** being seated, satisfying OA §1.24 "Seated" and the §114(1)(d) natural-person-control requirement

Parameter	Value	Description
Election Initiation Deadline	Within 90 days of framework ratification (Activation Condition 6)	The Transition RAC must open the Permanent RAC election within this fixed window so the election cannot be stalled
Seating Deadline	Before publication of the Activation Statement	Elected members must be seated before the Transition RAC publishes the Activation Statement (OA §8.5)

---

4. Compliance Challenge Parameters

Formerly styled the "veto" (Proposal & Voting Framework §8); the name changed, the mechanism did not.

Parameter	Value
Compliance Challenge Window	48 hours from RAC result publication
Compliance Challenge Filing Threshold	0.1% of eligible voting power (all sources per §8A) held by the filer, verified against the most recent governance snapshot. The RAC's review of the challenge grounds (Proposal & Voting Framework §8.4) is the substantive filter; no aggregate participation requirement applies

Parameter	Value
Compliance Challenge Filing Channel	The designated filing addresses recorded in the **On-Chain Identifiers & Verification Policy §3** — the Governance Operator mailbox as primary recipient, with the RAC mailbox in copy, so that a filing does not depend on any single role holder. **Interim measure pending a governance filing interface.** This parameter is defined by reference so the Channel may be migrated to an interface by parameter update, without amending Proposal & Voting Framework §8.4. Publication to the Official Venue is an independently valid filing route at all times (Proposal & Voting Framework §8.4)
Channel Publication Window	6 hours from receipt — the Governance Operator publishes filings received at the Channel verbatim to the Official Venue, with the receipt timestamp (Proposal & Voting Framework §8.4)
Holding Proof Cure Period	12 hours from RAC notification — period allowed to complete an incomplete holding proof. Runs inside the RAC's 48-hour determination window and does not extend it (Proposal & Voting Framework §8.3A)
Optional Stake Requirement	None

---

5. RAC Parameters

5.1 RAC Composition

Parameter	Value
Transition RAC Members	Exactly 3 (named in Operating Agreement Schedule 1 (§6.3); constituted under Operating Agreement Article VI)
Permanent RAC Members	Between 5 and 7 (set per election; defined in RAC Mandate §7). Adjustable by Governance Process proposal; minimum 5.
Term Length (Permanent RAC)	6 months
Routine Decision Quorum	Simple majority (more than half of seated members), where “seated members” excludes members recused on the matter — see Recusal and Quorum below
Routine Decision Approval	Simple majority YES of non-recused seated members participating
Recusal and Quorum	A member recused from a matter under **Conflict of Interest Policy §5.1** is excluded from both the quorum denominator and the approval calculation **for that matter only**, in the same way as a vacated seat. A RAC decision may not be taken on a matter where fewer than **3** non-recused members remain (Permanent RAC) or fewer than **2** non-recused members remain (Transition RAC). Where the floor is not met, the matter is escalated under **DAO Parameters §6C** and the RAC publishes a recusal-quorum notice to the Official Venue stating the matter, the number of recusals, and the escalation route. Recusal is recorded in the decision record; it is not an abstention and does not count as a NO
Seat Vacancy Definition	A seat is immediately vacated upon: (a) confirmed death notified by a pre-registered emergency contact; (b) written resignation; or (c) written declaration from a pre-registered emergency contact that the member is medically incapacitated and unable to perform their function. Vacated seats are excluded from quorum calculations immediately upon notification.
Emergency Contact Requirement	Each RAC member must register an emergency contact at appointment and update it at each term renewal. Emergency contacts are held by the Compliance Liaison and the Governance & Legal WG.

5.2 RAC Emergency Thresholds

Parameter	Value
Quorum	≥ 2/3 members

Parameter	Value
Approval Threshold	≥ 75%
Emergency Action Duration	Max 7 days

---

6. Treasury Parameters

6.1 Budget Limits

> **Phase scope.** The limits in this section bind **any body with treasury-spending authority from the Activation Date** — the Permanent RAC, the Treasury Signers, and Working Group Stewards spending within an approved budget. The **Transition RAC is not bound** by them: during the Transition Period the treasury operates under **Operating Agreement §6.5(d)** and §§9.10–9.12, at the Transition-Period signing thresholds in §6A, and formation spending is authorised by Transition RAC resolution under OA §6.6 rather than by the values below. The Emergency Safe Address row applies in both phases, as its own text provides.

Parameter	Value
Working Group Budget Cap	Defined per proposal
Single Transaction Limit	$12,000 USDC
Expense Pre-Authorisation Threshold	$500 USDC — expenses at or above this value require advance approval by the body holding the budget (Contributor Compensation Policy §8). Measured per claim
Emergency Spend Limit	$5,000 USDC — for operational emergencies (asset security, key rotation, critical infrastructure)
Governance Reconstitution Limit	$25,000 USDC — available only when a RAC or signer continuity event has been declared under Governance Continuity §4.1 or §4.2; covers emergency election costs, legal filings, and Registered Agent compliance fees; subject to GP ratification within 30 days

Parameter	Value
Legal Defense Advancement Limit	$25,000 USDC per legal proceeding — a bridging pool covering immediate legal response costs for one or more Delegates or RAC members named in the same proceeding arising from their role, before a GP can authorize ongoing funding; the $12,000 Single Transaction Limit does not apply within this pool; does not require a declared continuity event; subject to GP ratification within 30 days and the repayment undertaking in OA §12.5
Rolling 30-Day Outflow Cap	$50,000 USDC or 5% of treasury value (whichever is lower) — maximum total Treasury / Budget disbursements across all passed proposals in any rolling 30-day window. Signers must refuse execution of any proposal that would cause the rolling total to breach this cap and must report the refusal to RAC immediately (Treasury Signers Rules §8.2). Adjustable by Treasury & Budget proposal — permanently by express amendment of this row, or for a single window by a one-time uplift under §6.1B.

Parameter	Value
Emergency Safe Address	Must be designated **before the Company receives the principal asset transfer** (OA Schedule 5, conditions 8–9). During the Transition Period, designation is made by Transition RAC resolution published to the Official Venue, as part of establishing the treasury and custody framework (OA §6.5(d)); thereafter, changes to the designated address require a Treasury & Budget proposal. Until designated, Tier 2 emergency asset movement (Emergency & Safeguards Policy §6) is not available. The designated address is recorded in the **On-Chain Identifiers & Verification Policy §5** with its explorer verification link.

Measuring non-USDC disbursements. The limits in this section are denominated in USDC, but the DAO may pay in XRD or in a mixed denomination (Contributor Compensation Policy §5). A disbursement made other than in USDC is measured against every limit in this section at its **USDC-equivalent value**, determined as follows:

- **Rate source.** The rate is taken from the price source register in the **On-Chain Identifiers & Verification Policy §5A**, using the volume-weighted average price over the **24 hours** preceding the valuation time. Where that source is unavailable, the Treasury Signers use the next source in that register's order and record which was used. Until at least one source is designated, a non-USDC disbursement cannot be measured and must be refused (On-Chain Identifiers & Verification Policy §5A).
- **Valuation time — authorization.** For determining whether a payment requires a **Large Milestone Authorization** (§6.1A), and for the figures stated in the authorising proposal, the valuation time is the **opening of the voting period** on that proposal. This fixes what the DAO is voting on: voters see one figure, and it does not move under them while the vote is open.
- **Valuation time — execution.** For the **Rolling 30-Day Outflow Cap** and the signers' verification under Treasury Signers Rules §8.2, the valuation time is the **moment of execution**. Solvency protection must measure what actually leaves the treasury, not what it was worth when authorised.
- **Divergence between the two.** A disbursement authorised under §6.1A remains

authorised notwithstanding a change in USDC-equivalent value between authorization and execution: the DAO authorised a **quantity** of the payment currency, at the rate agreed with the provider under Contributor Compensation Policy §5, and market movement is not a fresh authorization question. It does **not** become exempt from the Rolling 30-Day Outflow Cap, which is applied at execution value in every case. Where movement in value would carry the disbursement past the cap, the deferral procedure in Treasury Signers Rules §8.2 applies.

- **Recording.** The rate, source, and valuation time used are recorded with each verification under Treasury Signers Rules §12, so that any participant can reproduce the calculation from public data.

Payment in the DAO's own governance asset. A disbursement in XRD, or in another asset carrying eligible voting power (§8A), transfers **voting power** to the recipient along with the value. Where a single engagement's total payments would transfer voting power approaching the **UBO KYC Threshold** (§8), the engaging body must state this in the RFP under Contributor Compensation Policy §6.1 and in the authorising proposal, so that the DAO decides the governance consequence knowingly rather than discovering it at execution.

No structuring around the limits. A single payment obligation — an engagement fee, a delivery milestone, a purchase — must not be divided into multiple transactions, claims, or invoices in order to remain below the **Single Transaction Limit**, nor spread across successive 30-day windows in order to remain below the **Rolling 30-Day Outflow Cap**. Where a disbursement forms part of a larger obligation, it is measured against both limits by reference to the **total obligation**, aggregating all payments to the same recipient or affiliated group arising from the same engagement, proposal, or milestone. This mirrors the anti-splitting rule that applies to the RFP Threshold (Contributor Compensation Policy §4.3; §7 below), and is enforced by the Treasury Signers under **Treasury Signers Rules §8.2**.

A payment schedule fixed in the authorising proposal **before the first payment** is not structuring. The following are expressly permitted: a Standing Service Authorization (Execution & Treasury Actions Policy §7.5); a milestone schedule set out in the accepted scope of work (Contributor Compensation Policy §7); a Working Group budget disbursed over its budget period (Working Group Framework §7); and a disbursement authorised under §6.1A. What this rule forbids is dividing an obligation *after* it exists, or shaping a schedule to clear a limit rather than to match the delivery of the work.

How a scheduled payment is measured. Where a payment schedule was fixed in the authorising proposal or the accepted scope of work **before the first payment**, each payment is measured against the limits **individually, at its own value**. Total-obligation aggregation is the test for a division made *after* the obligation exists, or for a schedule shaped to clear a limit rather than to match delivery; it is **not** a valuation method applied to every instalment of a legitimate schedule.

A schedule is legitimate for this purpose where **both**:

- each payment corresponds to a **distinct** period of service, delivered milestone, or budget period — not to a fraction of a single undivided obligation; and

- the schedule was **visible to the DAO** when it approved the obligation, so that the DAO approved the payment pattern and not merely the total.

Where either limb fails, the payments are aggregated and measured at total-obligation value. Where a signer is uncertain whether a schedule satisfies both limbs, the matter is escalated to the RAC under Treasury Signers Rules §8.2 rather than resolved at the point of signing.

Without this rule the aggregation sentence above would swallow the exceptions that precede it: every monthly payment of a twelve-month service would be measured at the value of the whole engagement, and §6.1A would be required for the ordinary operation of any budget larger than the Single Transaction Limit. Aggregation exists to defeat evasion, not to re-price honest instalments.

6.1A Large Milestone Authorization

The Single Transaction Limit is calibrated for routine operational disbursement. Some authorised work is a **single obligation** that cannot honestly be paid in instalments — a substantial delivery milestone, a lump-sum engagement fee, an asset purchase — and the anti-structuring rule above forbids manufacturing instalments to fit it through. This section is the designed route for such a payment. It raises the **bar**, not the limit: a large disbursement remains possible, but never routine, and never at the ordinary Treasury & Budget threshold.

A single disbursement exceeding the Single Transaction Limit may be executed only where **all** of the following are satisfied:

1. **Express authorization.** The disbursement is authorised by a Treasury & Budget proposal that states the amount, the recipient, and the milestone or obligation it discharges, and that expressly invokes this section. A Large Milestone Authorization may not be implied from a general budget approval.
2. **Elevated approval.** The proposal passed at the **Large Milestone Approval Threshold** below, in place of the ordinary Treasury & Budget approval threshold (§3.3). Quorum, the absolute participation floor (§3.2), and the Minimum Affirmative Support floor (§3.3A) apply unchanged.
3. **Verified delivery.** Where the disbursement discharges a milestone, payment is released only on Steward sign-off that the milestone has been met (Contributor Compensation Policy §7). Where it discharges an obligation of another kind, the proposal must state the verification event that releases payment.
4. **High-risk execution.** The disbursement is executed at the **High-Risk Signing Threshold** (§6A) and is subject to the **High-Risk Execution Delay** (§9), whether or not it would otherwise be classified as high-risk. A disbursement of this size is in any event ordinarily a protected matter under Operating Agreement §9.12(a).
5. **Counted in full.** The disbursement counts in full against the **Rolling 30-Day Outflow Cap**. This section lifts the per-transaction limit only; it does not lift the outflow cap, which protects treasury solvency rather than transaction discipline. Where the authorised disbursement would carry the rolling total past the cap,

the same proposal may grant a **one-time outflow uplift** under §6.1B.

6. **Not delegable.** A Large Milestone Authorization may not be granted by a Working Group Steward within an approved budget, by the RAC, or by any body other than the DAO by vote. A Working Group whose approved budget is large enough to contain such a payment must still bring the payment itself to a proposal under this section.

One proposal may carry several authorizations. A single Treasury & Budget proposal may grant a Large Milestone Authorization for **more than one** disbursement — most commonly the successive milestones of a single engagement. Each authorised disbursement must satisfy conditions **1, 3, 4, 5, and 6** in its own right: its own stated amount, recipient, and obligation discharged; its own verification event under condition 3; its own execution at the high-risk threshold and delay; and its own measurement against the outflow cap at execution. The elevated approval under condition 2 is given once, to the proposal as a whole, and the DAO accepts or rejects the schedule as a package (Proposal & Voting Framework §4.3).

An authorization is spent when its disbursement executes. An unexecuted authorization does not accumulate, does not transfer to another milestone, and does not survive the engagement it was granted for. A milestone whose verification event never occurs is never authorised at all: the DAO's approval of a schedule is not approval of the payments within it independently of delivery.

Parameter	Value	Description
Large Milestone Approval Threshold	**≥ 66% YES**	Approval required for a Treasury & Budget proposal invoking §6.1A, measured against Decisive Votes (Proposal & Voting Framework §6.3). Set at the Constitutional approval level rather than the ordinary Treasury & Budget ≥50%, because the proposal asks the DAO to set aside a standing treasury safeguard for one payment
Large Milestone Signing Threshold	High-Risk Signing Threshold (§6A)	Defined by reference so the two cannot diverge. Post-activation: 4-of-5
Large Milestone Execution Delay	High-Risk Execution Delay (§9)	Defined by reference. Minimum 72 hours after RAC result publication, in total
Large Milestone Outflow Uplift	**One-time; window-scoped; automatic expiry**	Default effect of any outflow-cap figure stated in a §6.1A proposal. Applies to the single rolling 30-day window in which the authorised disbursement executes, then expires without further act. A permanent change to the cap requires express amending words

Effective from the Activation Date, consistent with the phase scope of §6.1.

6.1B One-Time Outflow Uplift

Where a disbursement authorised under §6.1A would carry the rolling 30-day total past the **Rolling 30-Day Outflow Cap**, the **same** Treasury & Budget proposal may grant a one-time uplift — no separate Governance Process proposal is required, because §6.1 already makes that cap adjustable by Treasury & Budget proposal. An uplift granted under this section:

- **states an uplifted cap figure**, and applies it **only** to the single rolling 30-day window in which the authorised disbursement executes;
- **is not an amendment.** The value recorded in §6.1 is unchanged. The uplift **expires automatically** at the end of that window and the standing cap resumes, with no further vote, notice, ratification, or act by any body;
- **does not exempt the disbursement from the cap.** The authorised disbursement counts against the uplifted figure, and so does every other disbursement executed in the same window. The DAO accepts **one larger window**, it does not suspend the cap for that window — other spending still competes for the headroom that remains;
- **may not be stacked.** An uplift may not be granted for a window overlapping one in which a prior uplift applied, unless the proposal expressly discloses the prior uplift and states the combined effect of both. Successive uplifts are how a standing cap is raised by stealth, and disclosure is what puts that in front of the voter.

Several uplifts in one proposal. Where a proposal grants Large Milestone Authorizations for more than one disbursement (§6.1A), it may grant a **separate uplift for each**, and must state each uplifted figure and the disbursement it attaches to. Each uplift is independent: it governs only the window in which **its own** disbursement executes, and expires with that window. Uplifts granted by the same proposal are **not stacked** with one another merely by sharing a proposal — stacking is a question about **overlapping windows**, not about common origin.

Where two authorised disbursements from the same proposal do execute within overlapping windows, the higher uplifted figure governs the overlap and **both** disbursements count against it. The proposal must state which figure applies where the schedule makes an overlap foreseeable; where it does not, the signers apply the higher figure and report the ambiguity to the RAC under Treasury Signers Rules §8.2. An uplift schedule is not an instruction to the signers to find headroom that does not exist: where the overlap cannot be executed within the governing figure, the deferral procedure applies in the ordinary way.

A permanent change is a different act, and must say so. A proposal that intends to change the Rolling 30-Day Outflow Cap for all future windows must say so expressly and amend the §6.1 row; it is then a change to the parameter, not an uplift, and it survives the disbursement that occasioned it. **Silence is a one-time uplift.** An authorisation for a single payment never carries a standing change to a treasury

safeguard by implication, and neither the RAC nor the Treasury Signers may read one into it.

Effective from the Activation Date, consistent with the phase scope of §6.1.

6.2 Treasury Structure

Parameter	Value
Multi-account Requirement	Yes
Multisig Threshold	See §6A. Post-activation: 3-of-5 standard, 4-of-5 high-risk. Transition Period: 2-of-3 standard; protected/high-risk unanimous among all seated signers, minimum two (3-of-3 at full strength) (3 Transition RAC signers; OA §9.10–9.11)
Audit Requirement	Mandatory — an independent treasury audit is required annually. The RAC is responsible for scoping the audit and bringing an auditor appointment to governance for approval. The first audit process must be initiated within the first 12 months of entity formation.

Parameter	Value
Account Architecture Authority	Phase-dependent. **Transition Period:** the Transition RAC establishes and may adjust the account architecture (number of accounts, operational/reserve/grants segmentation, custody, initial signer set) by resolution published to the Official Venue (OA §6.5(d)), each account under multisig at the §9.11 thresholds; signer/threshold changes and material-asset moves are protected matters (OA §9.12). Once the Activation Statement is published, the structure is settled (changes only to remedy a security incident). **Post-activation:** changes by Governance Proposal only. Operative rule: Treasury Signers Rules §10A.1.

6.3 On-Chain Identifiers

The concrete on-chain identifiers for the treasury and governance infrastructure — the multi-signature treasury account(s), the Emergency Safe Address, the governance smart-contract component, the Owner Badge, and the voting-power resources — are not held in this registry. They are recorded, with public explorer verification links and their setup and use rules, in the **On-Chain Identifiers & Verification Policy**, which is the operational record referenced by **Operating Agreement §11.4** and **Certificate of Formation Article VII**. This registry holds only the numeric parameters governing those identifiers (§6.1, §6.2, §6A).

6A. Treasury Signers Parameters

Phase scope. The table below specifies the **post-activation** (permanent) signer set. During the **Transition Period** the signer set is the **3 Transition RAC members** acting as initial signers (Operating Agreement §9.10–9.11): **2-of-3** for standard actions and, for protected / high-risk matters, **unanimity of all seated signers, being not fewer than two** (3-of-3 at full strength), with the continuity floor at fewer than **2** available signers (Treasury Signers Rules §15; Governance Continuity Framework §4.6) and seat replacement under Operating Agreement §6.11. The 5-signer / 3-of-5 / 4-of-5 values below take effect on the **Activation Date**, when Treasury Signing passes to the 5 Delegates then holding it.

Seat composition. The 5 seats are **allocated seats** and **elected seats**, and the default number of elected seats is **zero** (Delegate Mandate §3.1). An allocated seat is seated by RAC allocation from among seated RAC members and has no term of its own; an elected seat is filled under the Elections & Role Governance Policy §§5–9, its holder need not hold a RAC seat, and it carries the Signer Term Length below. Elected seats arise only where the DAO has so resolved by Governance Process proposal, where an allocated seat has converted under the conversion duty (Delegate Mandate §3.3), or where the Transition RAC designated one in the initial roster (§3.2). Where there are no elected seats and the Permanent RAC is at its minimum of 5 seated members, all 5 hold Treasury Signing.

Parameter	Value	Description
Number of Treasury Signers	5	Total signer pool. The roster must comprise exactly 5 holders at all times, allocated seats plus elected seats (Delegate Mandate §3.1)
Elected Treasury Signing Seats	0 (default)	Number of the 5 seats filled by election rather than RAC allocation. Default zero. Set after activation by Governance Process proposal, before activation by the Transition RAC (Delegate Mandate §3.1, §3.2), or raised by one where an allocated seat converts under the conversion duty (Delegate Mandate §3.3). Allocated seats = 5 minus this value
Minimum Signing Threshold	3 of 5	Minimum approvals required for standard actions
High-Risk Signing Threshold	4 of 5	Minimum approvals required for high-risk actions

Parameter	Value	Description
Signer Term Length	6 months	Term of an **elected** Treasury Signing seat. An allocated seat has no term of its own and runs with the holder's RAC seat (Delegate Mandate §3; Elections & Role Governance Policy §8)
Max Execution Window	5 business days	Time allowed to execute an approved action
Max Acknowledgement Window	2 business days	Time allowed to acknowledge a valid execution request
Emergency Execution Window	ASAP, within 24 hours	Required response time during emergencies
Required Availability Standard	Respond within 2 business days	Minimum expected responsiveness during active periods; declared unavailability periods are excluded (see Treasury Signers Rules §15)
Key Rotation Review Interval	Every 6 months	Frequency of key / access review
Max Unexcused Inactivity Period	21 days	Inactivity threshold before replacement review; declared unavailability periods are excluded (see §6B and Treasury Signers Rules §15)
Signer Replacement Window	21 days	Time to fill a vacant signer seat
Allowed Unilateral Actions	None unless explicitly approved	Default rule for signer authority
Conflict Disclosure Requirement	Mandatory	Public or confidential as appropriate
Signer KYC Requirement	Required where applicable	Compliance standard

---

6B. Elections & Roles Parameters

Parameter	Value	Description
Standard Term Length	6 months	Default role duration
Auto-Renewal	Yes — unless chal-lenged	Incumbent role holders are automatically renewed at term end unless a challenge is filed or the role holder declines (see Elections & Role Governance Policy §9)

Parameter	Value	Description
Term Renewal Challenge Window	14 days (opens 21 days before expiry, closes 7 days before expiry)	Period during which an eligible Governance Participant may file a unilateral challenge notice to trigger a new election
Challenge Filing Threshold	0.1% of eligible voting power	Minimum holding required to file a valid challenge notice; verified against the most recent governance snapshot
Consecutive Renewal Cap	4 terms (2 years maximum continuous service)	After 4 consecutive terms in the same role, a standard election is mandatory; successful re-election resets the count to 1
Election Voting Duration	5-7 days	Length of an election vote. Applies to the Majority Judgment grading round, to Stage 1 shortlisting, and to each Stage 2 confirmation vote. It is the base that both rerun periods double, so the two mechanisms cannot drift apart on voting length
Nomination Period	7–10 days (concurrent with Discussion; see §3.1)	Nominations open at the start of the Nomination & Discussion Window and close when the window closes. Governed by the combined window parameter in §3.1.
Minimum Participation for Elections	7% (Governance Process quorum)	Quorum for an election vote, measured as Participation against eligible voting power at the snapshot. Applies to the Majority Judgment election vote (Proposal & Voting Framework §6.2.4) and, as the Election Stage 2 Quorum below, to each Stage 2 confirmation vote. Stage 1 shortlisting has no separate quorum — the Temperature Check result is sufficient (§6.2.5)

Parameter	Value	Description
Removal Vote Threshold	**None of its own**	A removal is an ordinary Governance Process proposal: 7% quorum, ≥ 60% YES (§3.2, §3.3), subject to the §3.3A floor. Cross-reference only, so that unseating costs at least what seating cost (Elections & Role Governance Policy §10.1)
Inactivity Threshold	21 days	Time before inactivity review; declared unavailability periods are excluded. **“Inactivity”** means: no response to governance execution requests, no participation in any multisig signing actions, and no communication with the RAC within the threshold period. Passive activities (reading updates, monitoring forums) do not constitute activity. Declared unavailability periods (per Treasury Signers Rules §15) are excluded from inactivity counting.
Replacement Election Trigger Time	7 days	Time before election must start
Replacement Completion Time	21 days	Max time to fill vacancy

Parameter	Value	Description
Floor-Protected Resignation Notice	14 days	Advance notice a RAC member (or Treasury Signer) must give where their resignation would reduce seated members below the applicable RAC floor (Permanent RAC: 5; Transition RAC: 3 — §5.1) or active Treasury Signers below the applicable execution quorum (post-activation 3-of-5; Transition Period 2-of-3 — §6A). During the notice period the member remains in office and the replacement process begins; the resignation takes effect on the earlier of a qualified replacement being seated or notice expiry. If the member cannot or will not serve the notice, the seat vacates immediately and the vacancy is escalated as a continuity event (Governance Continuity Framework §4.1/§4.2). A resignation leaving the body at or above the floor takes effect immediately. Operative rule: Elections & Role Governance Policy §11.2.

Parameter	Value	Description
Delegated Function Seating	RAC allocation (default)	Delegated Functions are allocated by the RAC from among its seated members and run with the holder's RAC seat; an allocated function is not separately elected and carries no term, renewal cycle, or challenge window of its own (Delegate Mandate §3). The DAO may resolve by Governance Process proposal that a function be filled by Election Proposal instead — for **Treasury Signing**, which is held by five Delegates, seat by seat (§6A — Elected Treasury Signing Seats); for every other function, as a whole. An elected seat carries its own term and the Elections & Role Governance Policy §§5–9 apply to it in full. Two exceptions to the seated-RAC-member requirement, and only two: the holder of an elected seat, and an interim Treasury Signer appointed from the Emergency Signer Reserve (Governance Continuity Framework §4.2; Treasury Signers Rules §15). Governance Operations, Legal Signatory, Compliance Liaison and Web2 Custodian are each held by one Delegate; every function must be held at all times, and one the RAC cannot allocate converts to an elected seat (Delegate Mandate §3.3)
Delegate Count — Minimum	5	Minimum total Delegates; bounded below by the 5 Treasury Signers required under §6A. May not fall below 5 while the Treasury Signing roster requires 5 holders. Holders of elected Treasury Signing seats count toward this total whether or not they hold a RAC seat.

Parameter	Value	Description
Delegate Count — Maximum	12	Maximum total Delegates. Adjustable by Governance Process proposal. **Note:** where every Delegated Function is seated by RAC allocation from among seated RAC members, the effective maximum is the Permanent RAC size (§5.1 — currently 5 to 7). This value binds only where one or more functions or seats are filled by election, each elected holder without a RAC seat adding to the total.
Max Concurrent Roles per Individual	2	Limits role concentration. A “role” is an elected or appointed position: a RAC seat, a Delegate seat (regardless of how many Delegated Functions the Delegate holds), a Working Group Steward seat, or a Strategic Coordination WG seat. Delegated Functions held by a single Delegate do not multiply the role count.
Conflict Disclosure Requirement	Mandatory	Required for all roles
Election Shortlist Multiplier	2×	Stage 1 shortlist slots per open seat (e.g. 3 seats → top 6 advance to Stage 2)
Election Stage 1 Max Selections	Unrestricted	Voters may approve any number of nominees in the Stage 1 Approval Voting proposal
Election Stage 2 Quorum	7% (Governance Process)	Quorum required for each Stage 2 confirmation vote
Election Stage 2 Approval Threshold	≥ 60% YES (Governance Process)	Approval required for each Stage 2 confirmation vote. Stage 2 uses the Confirmation Vote type (Proposal & Voting Framework §6.2.7) with no ABSTAIN option, so quorum and approval share the same YES + NO denominator. The §3.3A Minimum Affirmative Support floor does not apply; the two thresholds together already imply ≥ 4.2% affirmative support (7% × 60%). The **Grade Quantile** is set to the same figure, so both mechanisms put the same share-of-turnout test to a candidate

Parameter	Value	Description
Election Stage 2 Rerun Quorum	5%	Reduced quorum for the single permitted rerun of a **quorum-held-over** Stage 2 candidate — one who met the Election Stage 2 Approval Threshold in the prior round but missed the Election Stage 2 Quorum (Elections & Role Governance Policy §7.3). Applies only to such candidates; a candidate below the approval threshold is rejected and does not rerun, so a quorum shortfall cannot rescue a rejected candidate.
Election Stage 2 Rerun Approval Threshold	≥ 75% YES	Raised approval threshold for the reduced-quorum rerun, compensating for the lower quorum with a stronger mandate requirement (Elections & Role Governance Policy §7.3)
Election Stage 2 Rerun Voting Period	Double the Election Voting Dura-tion (above)	Extended voting window for a Stage 2 rerun, giving thin turnout more time to participate. Defined against the same base as the MJ Rerun Voting Period, so the two mechanisms' reruns cannot diverge in length
Max Election Stage 2 Reruns	1	A quorum-held-over candidate may be re-run at the reduced rerun quorum at most once; if still short, the seat is filled by fallback advancement or, failing that, the vacancy / founding re-run process (Elections & Role Governance Policy §7.3, §11, §17.1)
Grade Quantile	**Three-fifths — fixed in Pro-posal & Voting Frame-work §6.2.4; not a param-eter**	The share of voting power cast that must place a candidate at or above a grade for that grade to be their qualifying grade. **Cross-reference only** — part of the counting mechanics, not a threshold applied to a result, so it is altered by amending §6.2.4 and does not vary between elections or rounds. Set to equal the Election Stage 2 Approval Threshold below

Parameter	Value	Description
MJ Minimum Qualifying Grade	Good	The lowest qualifying grade at which a candidate may be seated (Proposal & Voting Framework §6.2.4; Elections & Role Governance Policy §7A.1). A candidate below it is not seated and the seat passes to the next-ranked electable candidate. The Majority Judgment counterpart to the Election Stage 2 Approval Threshold — a threshold on rank, not on vote share. Not independent of the Grade Quantile above: at three-fifths, Good means three-fifths of the power cast placed the candidate at Good or better, so neither should be altered without reference to the other
MJ Rerun Quorum	7% — **the same as the first round**	Quorum for the single permitted rerun of a Majority Judgment election that closed below the Minimum Participation for Elections (Elections & Role Governance Policy §7A.3). Deliberately **not** reduced: a rerun re-puts the same question to the same electorate on the same snapshot, so its remedy is time rather than a lower bar, and a reduced quorum would make the rerun cheaper to control than the round it rescues. Full reasoning: Proposal & Voting Framework §6.2.4. A round that meets quorum but seats nobody is not a quorum failure and does not rerun
MJ Rerun Minimum Qualifying Grade	Good — **the same as the first round**	The electability floor is unchanged on rerun. Raising it would not constrain a block that meets the Grade Quantile, since meeting the quantile means choosing the grade, and would burden a broad electorate while leaving a concentrated one unaffected. The Grade Quantile is likewise unchanged (§6.2.4)

Parameter	Value	Description
MJ Rerun Voting Period	Double the Election Voting Dura-tion (above)	Extended voting window for a Majority Judgment rerun. This is the entire remedy the rerun offers: the same electorate, measured against the same snapshot and the same thresholds, given twice as long to participate. Runs from the RAC's rerun notice (Elections & Role Governance Policy §7A.3)
Max MJ Reruns	1	A Majority Judgment election may be re-run **at most once**, at the same quorum, Grade Quantile and Minimum Qualifying Grade as the round it follows — the only remedy is the doubled MJ Rerun Voting Period: **more time, not a lower bar**. If the rerun also closes below quorum, no candidate is elected and all seats are referred to vacancy handling (Elections & Role Governance Policy §7A.3, §11, §17.1). The cap applies **per election** and does not limit the number of fresh elections §17.1 may require
Election Tie Runoff Quorum	3% (Temper-ature Check quorum)	Quorum for a tie runoff — the Approval Voting poll run among tied candidates under Elections & Role Governance Policy §7.2.1, §7A.4 or §7A.4A. Set at the Temperature Check level, not the 7% election quorum, because the runoff runs over the short Temperature Check period (§3.1) and separates candidates the electorate has already approved through a quorate round; it decides seating order, not eligibility. Measured as Participation, on the runoff's own snapshot (Proposal & Voting Framework §6.1). The minimum winner threshold in §3.5 does not apply. A runoff that fails to reach this quorum, or that is itself tied, leaves the seat unfilled and refers it to vacancy handling (§11; founding election: §17.1)

Parameter	Value	Description
Reserve List Validity Period	90 days	Period from election completion during which a candidate who cleared the election's bar but was not seated (Elections & Role Governance Policy §7.2.1, §7A.2) may fill a same-role vacancy without a replacement election (§7.5). **Does not apply to a seat vacated by removal**, which always goes to a replacement election (§7.5, §10.1A, §11)

6C. Dispute Resolution Parameters

Parameter	Value	Description
Level 1 Resolution Window	3–5 days	Time for direct resolution
Level 2 Mediation Window	5–7 days	WG mediation time
RAC Review Window	5–7 days	Time for RAC review
Max Escalation Time	21 days	Total allowed escalation time
Signer Response Time	48 hours	Time to respond to execution request
Signer Dispute Escalation Time	48 hours	Time before escalation allowed
Misconduct Review Window	7–14 days	Time to review misconduct claims
Abuse Threshold	Case by case (RAC discretion, subject to DAO review)	Limit on repeated frivolous disputes

---

7. Working Group Parameters

Phase scope. The procurement parameters below — the **RFP Threshold**, the **Independent Review Panel Threshold**, the engagement renewal parameters, the award-challenge parameters, and the continuity-bridge parameters — take effect on the **Activation Date** and bind **any body with treasury-spending authority**, not Working Groups alone. From that date they apply to a Working Group engaging a provider within its approved budget, and equally to the **Permanent RAC** where it engages a provider because no relevant Working Group exists (Contributor Compensation Policy

§6). The **Transition RAC is not bound** by them when selecting contributors under its narrow formation mandate (Operating Agreement §6.5); that exception is stated in Contributor Compensation Policy §6 and is limited to the Transition Period. Composition and reporting parameters apply from the establishment of each Working Group.

Parameter	Value	Description
Stewards per WG	1–3	Number of Steward seats per Working Group
Term Length	6 months	Standard Steward appointment term
Reporting Frequency	Monthly	Progress and spend reporting cadence (Working Group Framework §8)
RFP Threshold	$2,500 USDC	Engagements at or above this value require a formal RFP process (Contributor Compensation Policy §6). Measured **per provider per rolling 12-month period**, aggregating all engagements with the same provider or affiliated group, so a single engagement may not be split into smaller direct awards to remain below it. Effective from the Activation Date

Parameter	Value	Description
Independent Review Panel Threshold	$10,000 USDC	Engagements at or above this value **require** an independent review panel to evaluate RFP submissions (Contributor Compensation Policy §6.3). Same per-provider rolling 12-month measurement basis as the RFP Threshold. Effective from the Activation Date
Independent Review Panel Minimum Size	3	Minimum number of panel members appointed by the RAC under Contributor Compensation Policy §6.3. Members may not be Stewards of the commissioning Working Group, nor hold a disclosed conflict in relation to a bidder

Parameter	Value	Description
Independent Review Panel Minimum Size (RAC engagements)	2	Panel size where the Permanent RAC is itself the engaging body because no relevant Working Group exists (Contributor Compensation Policy §6.3, §6). The panel is drawn from the RAC's own seated members, who recuse from the selection decision. Set at 2 because the Permanent RAC has a minimum of five seated members and no RAC decision may be taken with fewer than three non-recused members (§5.1) — a larger panel would deadlock the body at minimum strength

Parameter	Value	Description
Engagement Consecutive Renewal Cap	2 renewals	Maximum consecutive renewals of a single engagement with the same provider before competition becomes mandatory (Contributor Compensation Policy §6.5.4). The entitlement does not vary with the length of the original term. At the cap the engagement must be competed under an RFP, or continued under a Governance Proposal authorising sole-source engagement. A completed RFP resets the count; a sole-source Governance Proposal does not. Effective from the Activation Date
Maximum Engagement Renewal Term	12 months	Longest term a single renewal may run, regardless of the length of the original term (Contributor Compensation Policy §6.5.1). With the renewal cap above, an engagement may run for its original term plus a maximum of 24 further months. Effective from the Activation Date

Parameter	Value	Description
Engagement Renewal Price Increase Cap	10% cumulative, measured against the price at original award	Maximum total price increase permitted across all renewals of a single engagement under the price increase exception (Contributor Compensation Policy §6.5.2). Measured against the original award price rather than the preceding renewal, so successive increases cannot compound past the cap. Where a proposed increase would exceed it, the engagement must be competed or continued under a Governance Proposal. Effective from the Activation Date
Engagement Renewal Challenge Window	Same as **Term Renewal Challenge Window** (§6B)	Period during which a Governance Participant may file a unilateral challenge notice voiding a proposed engagement renewal (Contributor Compensation Policy §6.5.3). Defined by reference so the two windows cannot diverge
Engagement Renewal Challenge Filing Threshold	Same as **Challenge Filing Threshold** (§6B)	Minimum holding required to file a valid engagement-renewal challenge. Defined by reference so the two thresholds cannot diverge

Parameter	Value	Description
Award Challenge Window	Same as the Contributor Compensation Policy §6.3 community comment period — **7 days**	Period during which a selection under an RFP may be challenged (Contributor Compensation Policy §6.3A). Defined by reference to the existing comment period so the two cannot diverge and so arming the window adds no delay to an unchallenged award. Engagement confirmation under §6.4 may not take place while the window is open. Effective from the Activation Date
Award Challenge Filing Threshold	Same as **Challenge Filing Threshold** (§6B)	Minimum holding required to file a valid award challenge (Contributor Compensation Policy §6.3A.1). Defined by reference so it cannot diverge from the renewal-challenge and Compliance Challenge thresholds. A qualified bidder holds a referral right only and does not file, so no separate bidder threshold applies

Parameter	Value	Description
Award Challenge Determination Window	10 business days	Period within which the reviewing body determines an award challenge (Contributor Compensation Policy §6.3A.3). Set to accommodate the ordinary remedy — re-evaluation of submissions already received by a panel constituted free of the defect — rather than only a documentary review. Engagement confirmation is suspended for its duration. Effective from the Activation Date
Bridge Challenge Extension	30 days	Maximum extension of a continuity bridge where the award concluding the competition is itself challenged under Contributor Compensation Policy §6.3A (Contributor Compensation Policy §6.6.3). Prevents a challenge timed near bridge expiry from terminating the service by running the review past the cap. Non-renewable; a second challenge does not extend the bridge again. Effective from the Activation Date

Parameter	Value	Description
Continuity Bridge Cap	60 days	Maximum duration of a continuity bridge, during which a challenged renewal of a **continuity-critical** engagement continues on unchanged scope and price while the engagement is competed (Contributor Compensation Policy §6.6.3). Set at roughly twice the minimum Contributor Compensation Policy §6 competition path (14-day RFP open period, evaluation, independent review panel above the Independent Review Panel Threshold, 7-day comment, contracting) — long enough to absorb one round of slippage, short enough that the bridge cannot substitute for competing on time. Where the competition has not concluded by expiry, the engagement ends; extension requires a Governance Proposal. Non-renewable; one bridge per engagement. Effective from the Activation Date

Parameter	Value	Description
Bridge RFP Publication Deadline	10 business days	Period within which the engaging body must publish the RFP after the RAC acknowledges a challenge to a continuity-critical engagement (Contributor Compensation Policy §6.6.3). Measured from the acknowledgement so the bridge cannot be consumed by delay in starting the competition it exists to accommodate. Effective from the Activation Date
Pre-Activation Designation Window	30 days from the Activation Date	Single window in which an engagement already in effect on the Activation Date may be designated continuity-critical (Contributor Compensation Policy §6.6.5). A pre-Activation engagement had no award-time opportunity to be designated; a designation not made within this window is unavailable until a completed competition under Contributor Compensation Policy §6 opens the question again

8. Identity & Participation Parameters

Parameter	Value	Description
Voting Basis	XRD and LSU (constitutional floor, entrenched per Charter §12.1 item 4) plus RAC-governed supplementary sources as listed in §8A below	—
LSU Inclusion	Active — snapshot-based XRD conversion	—
Delegation	**Not yet enabled** — pending platform support	Charter §5 recognises delegation of voting power to a representative of the holder's choosing as a mode of governance participation. It is not yet available because the recognised governance platform does not support it. This row records **implementation status**, not a limitation on the Charter right, and enabling delegation once the platform supports it requires no Charter amendment
Sybil Resistance	Not active	—
UBO KYC Threshold	>25% of eligible voting power	Triggers mandatory KYC under Marshall Islands DAO Act; annual BOIR filing required Jan 1–Mar 31
Compensation KYC Requirement	Required before first payment	Applies to all compensated contributors, contractors, and grant recipients (Standard and Strategic), **and to any individual or entity receiving expense reimbursement** — including pure documented cost recovery under Execution & Treasury Actions Policy §7.3 Model A, which carries no labour component. There is no de minimis exemption. Mirrors the scope in Contributor Compensation Policy §3.5

8A. Eligible Voting Power Sources

Tier	Source	How to change
1 — Constitutional floor	Liquid XRD	Constitutional Proposal (66% approval, 10% quorum) — cannot be removed
1 — Constitutional floor	LSU → XRD-equivalent at snapshot	Constitutional Proposal (66% approval, 10% quorum) — cannot be removed
2 — RAC-governed	LSULP → XRD-equivalent at snapshot	RAC routine decision + 30-day notice
2 — RAC-governed	Fungible LP pool units (Ociswap, CaviarNine, DefiPlaza)	RAC routine decision + 30-day notice
2 — RAC-governed	Ociswap precision pools (V1 and V2)	RAC routine decision + 30-day notice
2 — RAC-governed	CaviarNine shape pools	RAC routine decision + 30-day notice

Rules for RAC changes to Tier 2 sources:

- Any change must specify an `effectiveFrom` date at least 30 days in the future, ensuring no active proposal is caught between source configurations.
- The RAC must publish the change to the governance forum and notify Governance Participants at least 30 days before `effectiveFrom`.
- The standard 48-hour Compliance Challenge Window (§4) applies to all RAC source-list decisions.
- Adding a new source requires a written rationale demonstrating that the source represents genuine XRD-network economic alignment.
- Removing a Tier 2 source follows the same process as adding one.

---

9. Execution Parameters

Parameter	Value
Pre-Execution Hold	48 hours after RAC result publication (mandatory) — Treasury Signers may not initiate execution of any Treasury / Budget or Executable proposal until the Compliance Challenge Window (§4) has fully closed
High-Risk Execution Delay	24 hours additional after the pre-execution hold (mandatory) — applies to any disbursement executed under a Large Milestone Authorization (§6.1A) and to transactions classified as high-risk (4-of-5 signing threshold post-activation; unanimous-of-seated, minimum two, during the Transition Period, per §6A); total minimum 72 hours after RAC result publication

---

9A. Governance Continuity Parameters

Parameter	Value	Description
Governance Inactivity Trigger	3 consecutive quorum failures on the **same proposal** — the same substantive proposal, resubmitted after each failed attempt	Threshold before reduced quorum activates. The trigger is **per-proposal**, not per-category: three unrelated proposals of the same type failing quorum do **not** place other proposals of that type into reduced-quorum mode. Reduced quorum attaches only to the specific proposal that has failed three times in a row

Parameter	Value	Description
Reduced Quorum Threshold	50% of the standard quorum for that proposal type (minimum 1%)	Applies after inactivity trigger is met. For Constitutional proposals the reduced quorum may not fall below the entrenched 7% floor (Charter §12.1 item 2); the effective reduced Constitutional quorum is therefore 7%
Reduced-Quorum Approval Uplift	+15 percentage points	A proposal confirmed **under the reduced quorum** must reach a YES share at least 15 percentage points above its standard approval threshold (Governance Process 60% → 75%; Executable 50% → 65%), compensating the lower quorum with a stronger mandate. Constitutional proposals are unaffected — they retain their standard ≥66% approval and the entrenched 7% quorum floor. Does not apply to a proposal that meets its ordinary quorum

Parameter	Value	Description
Reduced Minimum Affirmative Support	50% of the standard floor for that proposal type (§3.3A)	The Minimum Affirmative Support floor scales down in step with the reduced quorum, so that the floor cannot defeat the continuity fallback it sits alongside. Governance Process 2% → 1%; Executable 1% → 0.5%; Constitutional 3.5% → 1.75%. In most cases the reduced floor is non-binding, because the Reduced-Quorum Approval Uplift already implies a higher YES share (e.g. Governance Process: 3.5% quorum × 75% uplifted approval = 2.6%); it operates as a backstop against an ABSTAIN-heavy reduced-quorum vote
Extended Voting Period	Double the standard voting duration	Applies alongside reduced quorum during inactivity
Reconstitution Deadline	30 days after failure event	Maximum time to re-establish a failed role or body

Reduced-quorum notice: When the reduced quorum activates for a proposal, the RAC must publish a reduced-quorum activation notice to the Official Venue at the opening of the reduced-quorum voting window, stating that the vote proceeds under reduced quorum and the raised approval threshold (Reduced-Quorum Approval Uplift). The extended (doubled) voting period runs from that notice, giving the wider community time to participate before the vote can finalise.

Treasury / Budget exclusion: Treasury / Budget proposals are excluded from the Governance Continuity Fallback. A Treasury / Budget proposal that fails to meet quorum must be resubmitted with revised scope or timing; the reduced quorum threshold and extended voting period do not apply.

Elections exclusion: Election proposals are excluded from the Governance Continuity Fallback, under **both** election mechanisms — the Majority Judgment election vote and its rerun (Proposal & Voting Framework §6.2.4), and Stage 1 shortlisting and Stage 2 confirmation votes (§6.2.5). Each mechanism carries its own low-turnout handling rather than the reduced quorum threshold in this section, and the two han-

dle it differently:

- **Two-stage** — the Stage 2 quorum-held-over rerun: the Election Stage 2 Rerun Quorum paired with the raised Election Stage 2 Rerun Approval Threshold (§6B; Elections & Role Governance Policy §7.3)
- **Majority Judgment** — a single rerun at the **unchanged** quorum and electability floor over a doubled voting period (§6B; Elections & Role Governance Policy §7A.3). Majority Judgment is the one mechanism in this framework whose low-turnout handling does **not** reduce a quorum, because it has no share-of-votes threshold that could be raised to compensate — see the MJ Rerun Quorum row in §6B

---

10. Emergency Parameters

Parameter	Value
Emergency Duration	Max 7 days
Disclosure Deadline	Within 48 hours
Post-Review Window	7 days
Governance Capture Notice Period	24 hours from publication of the RAC's pre-action notice — period within which an objection notice may be filed (Emergency & Safeguards Policy §4)
Governance Capture Fast-Track Voting Period	48 hours — duration of the fast-track vote opened where an objection notice is filed (Emergency & Safeguards Policy §4)

---

11. Amendments

*Amendment procedures, change classification (minor parameter adjustment vs. major structural change), and versioning requirements are defined in the **Governance Maintenance & Upgrade Framework §4–6**.*